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Test match, not IPL

Let’s start at the classic example of trade barriers on a certain product being eliminated. This yields immediate gains for the economy at large, as the price of that product comes down, though this gain may be imperceptible to most people as the magnitude of purchases of this particular product, by any one person, is small.

The existing producers of the product suffer from a decline in profitability and greater pressure to increase productivity. The pain is focused upon these persons.

Over time, some of these existing producers go out of business, thus freeing up capital and labour. The reallocation of this capital and labour into more productive uses gradually yields gains for the economy at large.

Entrepreneurs would see new business opportunities, including possible export markets, for business plans that involve buying this cheaper product. Gradually, these new businesses arise, and give gains for the economy at large. It takes time for the full ‘general equilibrium’ gains to play out. Public policy work is a test match, not an IPL.

Delays in building state capacity

When the Insolvency and Bankruptcy Code (IBC) was enacted in 2016, this had no immediate impact on the ground, as the state and private institutions that were required to implement the law did not exist.